

COMMITTEE ON HEALTH & HUMAN SERVICES
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1164
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 36-2943, Arizona Revised Statutes, is amended to
3 read:

4 36-2943. Provider subcontracts; hospital reimbursement;
5 change of ownership

6 A. Subcontracts for services rendered by providers pursuant to
7 section 36-2940 shall be awarded through competitive statewide proposals
8 in as nearly the same manner as that provided in section 41-2534. If
9 there is not a sufficient number of qualified proposals, a subcontract may
10 be negotiated with a provider and shall be awarded pursuant to section
11 41-2536. In order to deliver covered services to members WHO ARE enrolled
12 or expected to be enrolled in the system within a county, the program
13 contractor may negotiate and award without bid a provider subcontract if
14 during the contract year there is an insufficient number of subcontracts
15 awarded to providers. The term of the subcontract shall not extend beyond
16 the next bid and subcontract award process as provided in this section,
17 and the subcontract shall be at rates no greater than the weighted average
18 rates for the appropriate level of care paid to similar providers in the
19 same county. This section does not allow a program contractor to forego
20 FORGO the competitive bid process pursuant to section 41-2534 unless there
21 is an unanticipated increase in members enrolled in the system or a
22 decrease in available beds brought about by the closure of a facility
23 operated by a provider that is unable to be absorbed by current
24 contracting providers located in the same general area. Before soliciting
25 subcontracts without the competitive bid process, the program contractor
26 shall receive approval from the director.

1 B. Hospitals that render care to members shall be paid by the
2 program contractor as prescribed in section 36-2903.01, ~~or~~ ~~such~~ AT A
3 lower rate as may be negotiated by the program contractor.

4 C. The director may ensure through the subcontracts pursuant to
5 subsection A of this section that at least ten ~~per-cent~~ PERCENT of the
6 members are provided services pursuant to this article on a capitation
7 basis.

8 D. A claim for an authorized service submitted by a licensed
9 skilled nursing facility, an assisted living Arizona long-term care system
10 provider or a home and community based Arizona long-term care system
11 provider that renders care to members pursuant to this article shall be
12 adjudicated within thirty calendar days after receipt by the program
13 contractor. Any clean claim for an authorized service provided to a
14 member that is not paid within thirty calendar days after the claim is
15 received accrues interest at the rate of one ~~per-cent~~ PERCENT per month
16 from the date the claim is submitted. The interest is prorated on a daily
17 basis and must be paid by the program contractor at the time the clean
18 claim is paid.

19 E. NOTWITHSTANDING ANY OTHER PROVISION OF THIS CHAPTER TO THE
20 CONTRARY, WHEN THERE IS A CHANGE OF OWNERSHIP OF A LICENSED SKILLED
21 NURSING FACILITY OR AN ASSISTED LIVING FACILITY THAT IS ~~[A PROVIDER]~~ ~~[NOT~~
22 ~~IN A SUSPENSION, TERMINATION OR PAYMENT HOLD, THAT HAS AN ACTIVE PROVIDER~~
23 ~~ENROLLMENT WITH THE ADMINISTRATION]~~ AND THAT CONTINUES TO PROVIDE SERVICES
24 UNDER THIS ARTICLE, AT THE NEW OWNER'S REQUEST THE ADMINISTRATION AND ITS
25 PROGRAM CONTRACTORS SHALL CONTINUE TO PROCESS CLAIMS FOR SERVICES RENDERED
26 TO MEMBERS AND MAKE PAYMENTS IN ACCORDANCE WITH SUBSECTION D OF THIS
27 SECTION UNDER THE PREVIOUS OWNER'S ~~[CERTIFICATION]~~ ~~[ARIZONA HEALTH CARE~~
28 ~~COST CONTAINMENT SYSTEM]~~ NUMBER AND SUBCONTRACTS UNTIL THE NEW OWNER'S
29 SYSTEM ENROLLMENT AND CONTRACTING PROCESS IS COMPLETED. ~~[THE CURRENT~~
30 ~~OWNER OR NEW OWNER SHALL PROVIDE WRITTEN NOTICE TO THE ADMINISTRATION AT~~
31 ~~LEAST SIXTY DAYS BEFORE AN ANTICIPATED CHANGE OF OWNERSHIP AND RESPOND TO~~
32 ~~ALL PROVIDER ENROLLMENT REQUESTS WITHIN TEN BUSINESS DAYS.]~~

33 Enroll and engross to conform
34 Amend title to conform
And, as so amended, it do pass

SELINA BLISS
CHAIRMAN

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